

GOLD CREEK ESTATES v. VALLEY SPRINGS GOLD CREEK

17CV42103

DEFENDANTS' DEMURRER TO SECOND AMENDED COMPLAINT

This is a construction defect action involving allegations of negligent design and implementation of common areas within a condominium complex. Before the Court this day is a demurrer filed by defendants Valley Springs Gold Creek Inc, CRV Enterprises, Cleigh Voorhees (hereinafter "the Voorhees Defendants"), directed at the Second, Third, Fourth, Fifth, Eighth, Ninth and Tenth causes of action set forth in the operative Second Amended Complaint. The pleading is very challenging to navigate, due in large part to plaintiffs' reference to defendants by multiple code names.

With regard to the Second (nuisance), Fifth (fiduciary duty), and Tenth (implied warranty) causes of action, defendants contend that these common law claims are displaced (aka preempted) by the statutory Right to Repair Act. The California Supreme Court, in *McMillin Albany LLC v. Superior Court* (2018) 4 Cal.5th 241, held that the Right to Repair Act "was designed as a broad reform package that would substantially change existing law by displacing some common law claims and substituting in their stead a statutory cause of action with a mandatory prelitigation process ... claims seeking recovery for construction defect damages are subject to the Act's prelitigation procedures regardless of how they are pleaded." (*Id.* at 256, 259.) The Act provides a number of exceptions, and is not intended to displace the entire field; instead, it only preempts non-exempt claims falling within the scope of the Act. (*State Farm General Ins. Co. v. Oetiker, Inc.* (2020) 58 Cal.App.5th 940, 952-953; *Kohler Co. v. Superior Court* (2018) 29 Cal.App.5th 55, 71-72.) Those exceptions include breach of contract, fraud-based claims, statutory claims, personal injury, or class actions. (Civil Code §§ 931, 943.) Although nuisance can be a statutory claim, as pled here it is nothing more than construction defect. Fiduciary duty involves breach of a duty personal to the plaintiff, and in that instance requires something more than construction defect. If it can be pled at all, it is outside the scope of the Act. Implied warranty against the builder is just another name for construction defect. Demurrer to the Second and Tenth causes of action is SUSTAINED Without leave to amend. Demurrer to the Fifth cause of action is OVERRULED.

With regard to the Third (negligent misrepresentation), Fourth (intentional misrepresentation) and Eighth (fraudulent nondisclosure) causes of action, defendants contend that these are not adequately pled. These are fraud-based claims, and fraud-based claims must be pled with particularity rather than with general or conclusory allegations. This particularity requirement necessitates pleading facts which show how,

when, where, to whom, and by what means the representations were made. To state the claim against an entity, the plaintiff must also include allegations regarding the speaker's authority to bind the entity. (*Small v. Fritz Companies, Inc.* (2003) 30 Cal.4th 167, 184; *Lazar v. Superior Court* (1996) 12 Cal.4th 631, 645; *Morgan v. AT & T Wireless Services, Inc.* (2009) 177 Cal.App.4th 1235, 1261–1262.) To establish a claim for misrepresentation, plaintiff must allege with particularity: (1) the defendant represented to the plaintiff that an important fact was true; (2) that representation was false; (3) the defendant knew that the representation was false when the defendant made it, or the defendant made the representation recklessly and without regard for its truth; (4) the defendant intended that the plaintiff rely on the representation; (5) the plaintiff reasonably relied on the representation; (6) the plaintiff was harmed; and, (7) the plaintiff's reliance on the defendant's representation was a substantial factor in causing that harm to the plaintiff. (*Bowers v. AT&T Mobility, LLC* (2011) 196 Cal.App.4th 1545, 1557; *Boschma v. Home Loan Center, Inc.* (2011) 198 Cal.App.4th 230, 248; *Perias v. GMAC Mortgage, Inc.* (2010) 187 Cal.App.4th 429, 434.) To establish a claim for concealment, plaintiff must allege with particularity: (1) the defendant actively concealed or suppressed a material fact; (2) the defendant must have been under a duty to disclose the fact to the plaintiff; (3) the concealment/suppression was done with the intent to defraud the plaintiff; (4) plaintiff must have been unaware of the fact and would not have acted as he did if he had known of the concealed or suppressed fact; and (5) as a result of the concealment or suppression of the fact, the plaintiff must have sustained damage. (*Kaldenbach v. Mutual of Omaha Life Ins. Co.* (2009) 178 Cal.App.4th 830, 850.) The problem here is that plaintiff's fraud-based claims are anchored by generalized allegations regarding vague "express and implicit" representations (see SAC Para 76, 78, 94, 96, 128) made by unidentified individuals, and to unidentified individuals, about the general condition of the common areas. These fraud-based requires far more particularity. Demurrer to the Third, Fourth and Eighth causes of action is SUSTAINED, with 20 days leave to amend.

Finally, with regard to the Ninth cause of action for breach of contract, defendant is correct that – as pled – this cause of action is uncertain. That uncertainty stems largely from plaintiff's liberal use of interchangeable pseudonyms for parties, rather than their actual names. It is still not clear to this Court who the "contractor defendants" are that entered into a written agreement. Demurrer to the Ninth cause of action is SUSTAINED, with 20 days leave to amend.

The Clerk shall provide notice of this Ruling to the parties forthwith. Voorhees Defendants to prepare a formal Order for their respective motions pursuant to CRC 3.1312 in conformity with this ruling.

VALLES v. TRICORP GROUP, INC.

21CV45611

PLAINTIFF'S APPLICATION FOR PRELIMINARY APPROVAL OF CLASS ACTION SETTLEMENT

This is a putative class action, seeking redress for alleged wage/hour violations in the construction industry. The operative pleading is the original Complaint, which contains eleven (11) causes of action and a single proposed class as follows: "all non-exempt employees who have or continue to work for Defendants in California from May 7, 2017 to the present."

Before the Court this day is the initial hearing on plaintiff's application for provisional certification of a class, preliminary approval of class settlement, and approval of a PAGA settlement. The gross settlement amount ("GSA") is \$170,000.00, which is intended to cover an unknown number of non-exempt hourly employees suffering one of many wage/hour violations. This is a non-reversionary settlement (meaning nothing goes back to the defendant). The proposed deductions/allocations from the GSA are as follows:

Attorney Fees:	\$ 59,500.00 (35%)
Litigation Costs:	\$ 10,000.00
Administrator Costs:	\$ 6,500.00
Service Enhancement:	\$ 7,500.00
LWDA share of PAGA:	\$ 15,000.00
Class size:	125 members

Based on the proposed deductions/allocations, there should be an average payout per class member of \$530.00.

The PAGA Portion – **Approved**

On a proposed PAGA settlement, the trial court must review and approve the settlement, making sure it is fair to both the LWDA, as well as the employees subjected to one or more of the alleged Labor Code violations. Courts generally look to whether the settlement is genuine, meaningful and consistent with the underlying purpose of PAGA, to wit: protecting employees, augmenting the state's enforcement capabilities, encouraging compliance with Labor Code provisions, and deterring noncompliance. Some of the factors to consider, subject to a sliding scale, include (1) the LWDA's views, or lack thereof, on the settlement; (2) the likelihood of any discretionary reduction